



Time: 5 minutes

Outcome: Interpret movements along the short-run inflation-unemployment tradeoff.

Difficulty: Intermediate

Short-Run Phillips Curve

THE CORE IDEA

The short-run Phillips curve shows an inverse relationship between inflation and unemployment when expected inflation is fixed. With expected inflation initially fixed, a demand change moves the economy along the current SRPC. The LRPC is vertical at the natural rate because expected inflation adjusts in the long run. The short-run Phillips curve shows that lower unemployment is associated with higher inflation, and higher unemployment is associated with lower inflation.

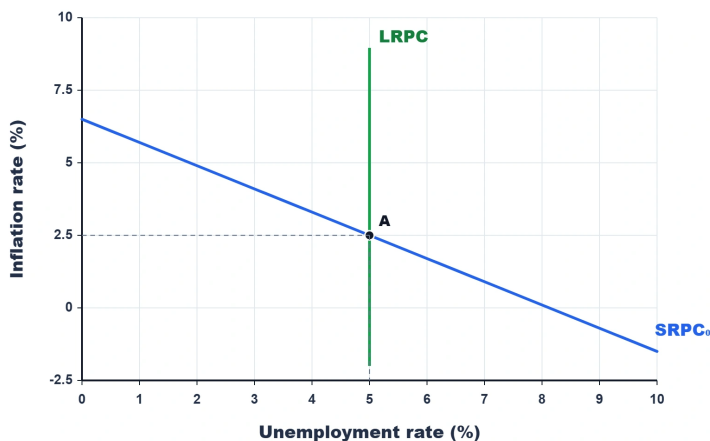
HOW TO RECOGNIZE IT

- A short-run tradeoff between inflation and unemployment.
- Higher AD raises output and prices, which maps to lower unemployment and higher inflation.
- The short-run Phillips curve shows a trade-off between inflation and unemployment.
- A move up and left along the displayed SRPC means lower unemployment and higher inflation.

WATCH OUT

Do not confuse the Phillips curve with the AD-AS model. The short-run Phillips curve shows that lower unemployment is associated with higher inflation, and higher unemployment is associated with lower inflation.

WORKED EXAMPLE: MOVEMENT ALONG THE SRPC



Point A has 5% unemployment and 2.5% inflation. With expected inflation fixed, stronger aggregate demand moves the economy up and left along this same SRPC: unemployment falls while inflation rises. Weaker demand moves it down and right. A change in expectations would instead shift the curve.

CHECK YOURSELF

On a Phillips graph, moving upward and left along one SRPC means what?